

The Ceiling Moved Too Little

The ten-year broke a ceiling that had been raised that morning to hold it; this note asks how far an estimate should move.

THE READING

The US 10-year closed at 5.208% on Thursday, the highest since 2007. That morning Hedgeye had raised the top of its range to 5.15% from 5.09%. The yield closed 5.8 basis points above the new line anyway, the second close through the ceiling in two sessions. The 30-year reached 5.489%. The 2-year rose only 3.4bp, so 2s10s widened to 27.7bp from a 20bp low on Monday. That is a bear steepener, the opposite of the flatter curve Hedgeye forecasts.

The MOVE index of bond volatility rose 9.6% to 104.6. The S&P 500 finished flat at 7,704 while the equal-weight index fell 0.50%. HYG closed exactly on its floor at 77.89; LQD closed 25 cents below its own. The mood is not panic. It is reluctance: a market repricing duration one grudging step at a time.

WHAT WISDOM WOULD SAY

Amos Tversky and Daniel Kahneman, in their 1974 *Science* paper on judgment under uncertainty, described anchoring and adjustment: people start from an initial value and adjust toward the evidence, and the adjustment is typically insufficient.

Thursday is a clean instance. The starting value was a 5.09% ceiling. The evidence was a tailed five-year auction, a 58.4 composite PMI and a Treasury buyback that did not hold the long end. The adjustment was six basis points. The market needed about twelve. The same pattern sits in the curve call. The forecast still points to flattening and possible inversion by early 2027, and 2s10s has steepened 7.7bp in three sessions.

The point is not that the range is wrong. Ranges are supposed to move. The point is the direction of the error. When an estimate is revised the same way several times, each revision too small, the run of revisions is itself evidence. It says the process is anchored on where it began, not on what is arriving. The remedy is to set the anchor aside and ask what you would estimate seeing the data cold. Seen cold, a 5.2% ten-year with bond volatility above 100 and

credit on its floors is not a band to be widened. It is a level to be priced in its own right.

THE RISK IT JUSTIFIES

That argues for three things this morning. First, stop treating 5.15% as a ceiling for sizing until the yield prints a lower high. A range broken twice describes the tape; it does not guide it. Second, leave duration and credit exposure where they are rather than adding on the idea that 5.2% must be the top. HYG on its floor is a reason to wait for the break or the hold, not to anticipate either. Third, read the flat S&P as a mega-cap print. With the equal-weight index down 0.50%, adding broad index risk at 7,704 is a bet that rates stop mattering to the average stock.

What would change the answer: a close back below 5.15% together with MOVE under 90, or clear evidence that auction demand for duration has returned. Tonight's August durable goods at 20:30 GMT+8 is the first test.

If you had first seen 5.2% this morning, what range would you have drawn around it?